

rors. They wanted us to solve that problem as well.

That led us to build payouts. From there, payroll became a natural extension because every business has to pay salaries. As a founder, I experienced that pain myself. In the early days, I used to process salaries manually through our bank account. Every month, I had to calculate salary payouts, deduct taxes, pay TDS, professional tax and other statutory dues. It took a lot of time, and that is the reality for many early-stage start-ups where the founder is also the finance team. We felt we could automate that entire workflow and let founders focus on building their businesses.

The same thinking led us to gift cards. We realised more digital businesses wanted to offer gift cards as gifting became popular. Since we already operate at the intersection of technology and money movement, building a gift card platform was a natural extension. Today, we power gift cards for companies such as Blinkit and Zomato. While many businesses adopt it alongside our payments platform, some use the gift card platform independently.

That is how our expansion has always happened. Every time we identify an unsolved problem for businesses, and believe we are well placed to solve it because we sit at the intersection of technology and finance, we build for it. Every product we have launched has been designed for businesses. We have consciously stayed away from building directly for consumers because our role is to help businesses serve their customers better.

Q. You have said you are prouder of the fact that Razorpay powers nearly 80% of India's unicorns than of Razorpay itself becoming a unicorn. When the company entered the unicorn club in 2020, how did you view that milestone? Did it change anything internally or simply raise expectations from the outside?

A. Becoming a unicorn definitely brought a lot more attention. There was suddenly much greater interest from the media, and the broader start-up ecosystem started looking at us differently. But internally, not much changed. We already had a lot on our plate. We celebrated for a day and then got back to work. It happened in the middle of the pandemic, so even the celebration was virtual.

What did change were expectations from the

outside. People started looking at Razorpay differently, and that naturally brought greater responsibility.

Q. In today's start-up ecosystem, valuation often dominates the conversation. As a founder, how do you distinguish between valuation and genuine value creation?

A. At the end of the day, the only thing that truly matters is the value you create for your customers. If you are creating more value for yourself than for your customers, you are living on borrowed valuation. Those valuations eventually correct themselves. The only sustainable way to build a business is to create more value for your customers than you capture for yourself.

That is why I am more excited about the fact that Razorpay powers nearly 80% of India's unicorns than about Razorpay itself becoming a uni-

“Personally, though, I don't spend much time thinking about wealth. Building a company takes up almost all your time”

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corn. To me, that is a far more meaningful measure of the impact we have created.

One question I ask myself when I meet customers is: If Razorpay did not exist tomorrow, would they care? If the answer is yes, then we are creating real value. If we are simply one of many interchangeable providers, then whatever valuation you have does not mean much because customers can always switch to someone else.

The other way we measure value creation is through innovation. We have built a culture where it is okay to fail, but it is not okay to be second or third (in the market). If you are constantly launching new products, some of them will fail, and that is fine. What is not fine is not trying at all.

A good example is UPI. In 2016, we became the first payment gateway in India to launch UPI. At the time, many people did not believe it would scale